

NOTE 64

TWO EXAMPLES OF CORPORATE PYRAMIDING

First Example: The essential character of the Insull pyramid may be brought out by the following partial summary:

		Liabilities senior to common stock (Dec. 31, 1931)
Company 1 (Top Company)	Corporation Securities Co. An investment company of specialized character. Its chief holdings were in Co. 2—\$59,000,000 and Co. 3—\$42,000,000, out of total portfolio of \$145,000,000.	Bank loans, etc. \$33,000,000 Funded debt 24,000,000 Preferred stock 37,000,000
Company 2	Insull Utility Investments, Inc. Also a specialized investment co. Its chief holdings were in Co. 3 —\$64,000,000 out of total portfolio of \$252,000,000. (It also held \$32,600,000 of stocks of Co. 1.)	Bank loans, etc. \$53,000,000 Funded debt 58,000,000 Preferred stock 46,000,000
Company 3	Middle West Utilities Co. A public utility holding company controlling a number of subsystems. Gross business of system in 1931 was \$173,000,000. Chief subsidiary was Co. 4.	Parent company: Bank loans, etc. \$35,000,000 Funded debt 40,000,000 Preferred stock 61,000,000 (Note: Public's holdings of: Subsid. bonds \$283,000,000 Subsid. preferred . . . 152,000,000 Subsid. common . . . 10,000,000)
Company 4	National Electric Power Co. A public utility holding company controlling several subsystems. Gross business in 1931 was \$68,000,000. Chief subsidiary was Co. 5.	Parent company: Bank loans, etc. Not reported separately Funded debt \$10,000,000 Pfd. & Class A stock . . . 36,000,000
Company 5	National Public Service Corp. A public utility holding company controlling four subsystems. Gross business in 1931 was \$36,000,000. Chief subsidiary was Co. 6.	Parent company: Bank loans, etc. Not reported separately Funded debt \$20,000,000 Pfd. & Class A stock . . . 30,000,000
Company 6	Seaboard Public Service Co. A public utility holding company controlling six subsystems. Gross business in 1931 was \$16,000,000. Chief subsidiary was Co. 7.	Parent Company: Funded debt None Preferred stock \$9,000,000
Company 7	Virginia Public Service Co. A public utility operating and holding company. Gross business in 1931 was \$7,600,000.	Funded debt \$37,000,000 Preferred stock 10,000,000